

Analyse the operations strategies used to help sustain a competitive advantage. (20 marks)

In a dynamic business environment, operational management strategies are critically used to help sustain and achieve a competitive advantage. Specifically, leading-edge technology is implemented and used to help businesses obtain a place and status in the market. Quality management, namely quality control, is enforced to improve standards and achieve greater quality products compared to competitors. Finally, businesses utilising the strategy of new product or service design and development will be able to enhance and sustain a competitive advantage in the market. Prominent businesses like McDonalds, Apple, Woodman's Markets, Keytone Dairy and Muratbey have tailored their use of such operations strategies to achieve and sustain their competitive advantage in the market in a post-Covid-19 environment.

Leading-edge technology

Technology refers to the scientific knowledge and equipment available to help a business perform certain functions. Technology may be defined as the design, construction and/or application of innovative devices, methods and machinery upon operations processes. A business can hence obtain sustainable competitive advantage through use of technology as through it, there is better quality and speed (reduced lead times to the consumer). There is a strong correlation between utilising leading-edge technology and sustaining a competitive advantage. Leading-edge technology is technology that has never been used or introduced in the market. Businesses who use this are the first to develop and implement the new technology.

Specifically, a positive implication of the implication of leading-edge technology is that it can improve efficiency of the production process, increased efficiency of the production and decrease overall lead times. McDonald's efficiently has recently improved after acquiring Drive-Thru technology in response to the covid-19 pandemic. The recent acquisition of dynamic yield (a technology company) in 2019 enabled them to develop a sophisticated technology that adapts the menu board according to a range of factors including weather and previous orders. This technology enabled McD to amplify their suggestive selling efforts since 90% of sales were processed in the drive-thru of most stores. Notably, it decreased drive-thru time for each person from 253 seconds to 208 seconds. In effect, this allowed for more customers to be satisfied with the McD service in a time of heavy congestion in fast food restaurants. The overall lead times was reduced and improved the service dramatically which altogether gave McD a competitive advantage in the midst of covid-19 through the use of leading-edge technology as an operations strategy.

Furthermore, another positive implication is seen through Woodman's markets. During Covid-19, they had to keep up with the demand of heavy stock as people were buying more groceries with closures of many restaurants and home isolation. They had to scan and monitor stock for approx. 100 000 items. Here, they decided to invest in leading-edge technology from badger technologies robots with badger retail insight. Effectively, this increased the speed and quality for woodman's markets as they were able to scan items in a matter of hours rather than days. They identified items no longer in stock with 95% precision and identification of mislabelled

items with 90% precision. This leading-edge tech was hence able to give woodman's a competitive advantage as more customers were satisfied with the quality and lead times they offered, having a product and service that was more appealing than competitors in their eyes and generating more sales.

However, a negative implication is seen within McD's implementation of their leading-edge technology; dynamic yield through the high up-front cost with almost \$480 million. Moreover, it may hinder Woodsman's speed in the short term as the business may need to temporarily close in order to implement this technology, retrain staff and change process layout.

Thus, there is a strong relationship between the operations strategy of leading-edge tech and sustaining a competitive advantage in the market.

Quality control

competitive advantage can be successfully sustained through the implementation of the quality control strategy. Quality refers to the way a product is produced in relation to the process conducted, and quality control assists with this as it involves the physical inspections of the product in all stages of the production process. There is a strong correlation between the implementation of quality control as an operations strategy and the achievement of a competitive advantage. The advantage over others is seen through the enhanced quality.

A positive implication of implementing quality control is seen through McD and their burger buns. It is an effective operations strategy that allows inspections of the product in all stages of the production process including feed forward(before), concurrent(during) and feedback(after) controls. The New Zealand business ARYTZA Bakery supplies McD with high quality buns. This bakery undergoes quality control through maintaining the quality of buns that are consistent in taste, size, tone and appearance. A worker physically checks and maintains the quality of the buns and their appearance throughout every stage of the production process. Namely, the eye-pro Inspection system is what identifies the variations in appearance of the buns such as time, height and heaviness. This strategy successfully allowed McD to maintain their quality and meet customer quality expectations and standards. This will ultimately increase customer satisfaction through the achievement of reliability and ultimately sustain and achieve a competitive advantage within the market.

However, a negative implication of the association between the operations strategy of quality control and competitive advantage is seen through the increased expenses related to the staff needing to inspect each item for defects. Another expensive consideration is that staff need to be adequately trained to carry out these quality processes. Consequently, this will have a domino effect resulting in decreased quality, customer satisfaction and overall sales. This has clearly been reflected through Apple whereby 35% of iPhones sold through JB-HI-FI have been recalled. The recall was due to deficiencies evident in the products as the staff were not vigilantly conducted their duty of quality control practices. The lack of staff initiative had a direct negative impact on the quality of the product and hence on customer standards and expectations; ultimately affecting competitive advantage for JB-HI-FI in the market.

Thus, there is a strong relationship between the operations strategy of quality control and sustaining a competitive advantage in the market.

New product or service design and development

The design, development, launch and sale of new products enables a business to grow and to attain a competitive advantage. A business that has the ability to integrate leading-edge technologies with skills and innovative ideas can be a market leader in new products and maintain a competitive advantage/edge. There is a strong correlation between the implementation of new product design and development as an operations strategy and the achievement of competitive advantage, providing an innovative edge to businesses who use this strategy.

The positive implication of this association whereby new product design and development is used as a strategy to achieve competitive advantage is seen through Keytone dairy. COVID-19 has caused a huge variation in demand worldwide. Consumers have heavily changed their consumer habits since isolation and deciding to purchase healthier and immune boosting products to avoid illnesses. Hence, Keytone dairy has launched a new immune boosting supplement that will initially be available in Chinese markets; and hence was able to target customers' changing needs during the pandemic. They were able to hence achieve over \$11million in sales in one quarter of 2020; corresponding to 33% rise in sales from the previous quarter, and were able to hence achieve and sustain competitive advantage through their use of implementing and considering new consumer trends and demands to satisfy target markets.

Moreover, another positive implication of this relationship is seen through Muratbey; a Turkish cheese company. Over two years it implemented research and development to launch a new product aiming to gain competitive edge during COVID-19. They implemented a new product range called 'MuratBey Plus' which includes cheese products with added benefit of Vitamin D. as a result of their success, they increased sales domestically and began exporting to Europe. These exports accounted for 25% revenue and amount exported increased by 40% since launching this new product range.

However, a negative implication is seen through the increased expenses and time. Keytone dairy and Muratbey successfully monitored the changes in demand and responded with the development of new products which suited to many new target markets; ultimately increasing costs and is a time-consuming process. Specifically, Muratbey took two years to create their new product which came at the risk of failing.

Thus, there is a strong relationship between the operations strategy of new product design and development and sustaining a competitive advantage in the market.

Conclusively, operations strategies are critically used in business environments to help sustain competitive advantages and edge. Namely, strategies of leading-edge tech, quality control and new product or design and development all work and strive for customer satisfaction and efficiency in the business environment to generate sales and most significantly, achieve

competitive advantage. This is seen in a post-COVID-19 business environment in prominent businesses such as McDonald's, Apple, Kettle Dairies and Murrumbidgee.

Analyse the internal and external sources of finance used to achieve the objectives of financial management (20 marks)

Objectives of finance can successfully be achieved in a dynamic business environment through the use of internal and external sources of finance. Specifically, the internal source of finance such as retained profits can effectively be used for the achievement of solvency as a financial objective. Secondly, external long-term debt; namely leasing can be used for the achievement of liquidity as a financial objective. And lastly, external equity finance can be used to achieve the financial objective of growth. Prominent businesses such as McDonald's, Commonwealth Bank of Australia (CBA), Peter Sheppard and Forbidden Foods tailored and benefited from the use of these internal and external sources of finance to achieve their financial objectives in a post-COVID-19 environment.

Retained profits

Internal sources of finance come from within the business and are recorded under equity in the balance sheet. Retained profits is a form of internal source of finance and is known as 'undistributed profits'. This is when a business makes profit, and reinvests this back into the business. There is a strong correlation between the internal source of retained profits in finance

and the achievement of solvency as a financial objective which is the ability to pay off both short-term and long-term business obligations and commitments.

The positive implication of using retained profits as an internal source of finance to achieve the financial business objective of solvency is seen through the Commonwealth Bank of Australia (CBA). They have doubled their funds set aside for bad loans (those that cannot be repaid)-\$2.5 billion in 2020. In total, CBA provided \$6.4 billion worth of bad/doubtful debts and noted \$8.7 billion worth of troublesome loans. Despite reporting a 12% increase in net profit, CBA was effectively able to retain approximately a quarter of its net profit to deal with the harsh implications of COVID-19. This internal source of finance implemented by CBA allowed them to rely less on debt finance which comes with more costs and expenses (interest repayments). Moreover, they used and took advantage of the retained profits in a timely manner to deal with the financial implication COVID-19 posed and gave them a quick source of funds which was used in emergency situations. This internal source of finance was successfully able to achieve the financial objective of solvency as CBA was able to pay off their short-term commitments in a timely manner, as well as reducing their extent of gearing in the long-term; making them more financially stable.

Moreover, another positive implication of using retained profits as an internal source of finance to achieve the financial objective of solvency is seen through McD. In 2019, they made a profit of \$6 billion and decided to keep it in the business. This allowed them to easily give more than half of this profit as a form of dividends to shareholders and fund share buybacks as well as using it to fund future programs without the use and risk of loans and debt financing; ultimately achieving the financial objective of solvency as a result.

However, the negative implication of this relationship is that retained profits is a limited source and its source is unpredictable depending on the amount of sales made. Hence, CBA and McD can easily misuse this source of finance as it is not accountable to anyone (no interest).

Hence, there is a strong relationship between using retained profits as an internal source of finance and achieving the financial objective of solvency.

Leasing

Leasing is an external source of finance and is also a form of long-term borrowing (debt). It is the use of an asset (typically non-current asset) over an agreed period of time with ongoing regular repayments. There is a strong correlation and relationship between using leasing as an external source of finance and achieving the financial objective of liquidity which is the ability to pay off short-term debts as they fall due.

The positive implication of this relationship is seen through Peter Sheppard. It is an iconic footwear retailer that has stores across Australia. The business pays \$123 000 every month in

lease repayments in return for operating a 1000-square metre shop at Pitt Mall in the Sydney CBD. This allows Peter Sheppard to use the asset without a large capital outlay, instead the business just makes lease payments to Westfield every month. Another advantage of using leasing as an external source of finance is that lease payments are tax-deductible, thus reducing the business' taxable income by the total amount of lease payments made. These lease repayments as a result retains more cash in the business so that it could be used for other purposes and fulfill short-term commitments Peter Sheppard must oblige to such as accounts payable; ultimately achieving the financial objective of liquidity.

Another positive implication of using leasing as an external source of finance is seen through McD. they have made the use of leasing as a source of funding; paying almost \$1.6 billion in lease payments worldwide. McD uses this strategy to reduce the initial capital outlay required for new stores, enabling more stores to be open in a shorter timeframe. It also helps retain more cash in the business as it can be used for multiple other purposes that McD can benefit from, especially during the midst of COVID-19; being able to repay their short-term obligations and debt and ultimately achieve the financial objective of liquidity.

However, a negative implication of using leasing as an external source of finance is that Peter Sheppard and McD are not able to retain full ownership of the stores they rent which poses risk once the owners decide to sell the asset; hence impacting on level of liquidity they are able to reach to meet their short-term business obligations and financial commitments.

Equity

External equity finance refers to funds sourced from people and institutions who are external to the business. Specifically, new share issues refer to the process of raising equity finance by selling shares for the first time on the stock exchange. There is a strong relationship between external equity and achieving the financial objective of growth.

The positive implication of this relationship is seen through Australian health food business 'Forbidden Foods' which floated on the ASX in August 2020. They were successfully able to raise \$6 million from a new share issue after releasing its shares at \$0.20 each. Investors clearly liked what the health food company was offering, with the stock doubling in less than 20 minutes of it floating back on ASX. as a result, they were able to grow to supply over 3000 retailers, 500 restaurants and food manufacturers, exporting to customers in NZ, Ireland, Singapore and the US. the use of this external source of finance; equity capital allowed Forbidden Foods to launch new innovative lines, deepen its market penetration and broaden its international focus; ultimately achieving the financial objective of growth which is able to generate more profit and sales for the Australian business.

However, a negative implication of this relationship is that through using external equity; namely new issue of shares, ownership becomes diluted which means original owners have less control/ownership of the business.

Hence, there is a strong relationship and correlation between the use of equity as an external source of finance and achieving the financial objective of growth.

Conclusively, objectives of finance can successfully be achieved in a dynamic business environment through the use of internal and external sources of finance. Namely, internal sources of retained profits, and external sources of finances such as leasing and equity can be used to achieve the financial objectives of solvency, liquidity and growth respectively. This is evidently shown in prominent businesses such as the Commonwealth Bank of Australia, McDonald's, Peter Sheppard and Forbidden Foods in a post-COVID-19 environment.

Explain the influence of global markets on financial management of businesses. (20 marks)

The influence of global markets inevitably impacts on financial management and strategies of businesses. The impact of globalisation has greatly changed and manipulated businesses financial decisions. Specifically, the global market influence of economic outlook allows businesses to engage in cost controls in order to overcome the global market influence, namely through expense minimisation. The global market influence of availability of funds also impacts a business's financial management through the use of derivatives. Finally, interest rates heavily impact financial management of businesses. The effectiveness and impact these global market influences have on financial management is reflected through Qantas, McD and Apple. Thus, global market influences greatly impact and influence a business' decisions and implementations of financial management strategies.

Economic outlook-Expense Minimisation

Economic outlook refers specifically to the projected changes to the level of economic growth. In a positive economic outlook, the effect is increased jobs, more money to spend, greater

demand for products and businesses do well. However, in a negative economic outlook the effect is the opposite. The impact of a negative economic outlook is shown through the COVID-19 pandemic crisis. This resulted in many individuals losing their jobs thus providing them with less disposable income which has a detrimental flow on effect towards businesses.

In 2020 the global pandemic caused rapid revenue declines creating challenges for Qantas. Qantas responded by cutting flying capacity, deferring and cancelling orders for new planes, restructuring and replacing Jetstar with some routes ultimately minimising Qantas's Fixed and variable costs. Clearly economic outlook has caused this business to result in utilising the cost control strategy decreasing fixed and variable costs in order to compensate for the losses. In effect this allowed Qantas to survive the pandemic and ultimately minimise expenses. Evidently, the negative economic outlook caused by the pandemic has resulted in the use of expense minimisation to compensate for such losses. Additionally, Qantas saw the need to create a COVID-19 recovery plan where by the end of 2023, they will aim to save \$15 billion through expense minimisation. Specifically, Qantas is on track to achieve this as they have made 20,000 employees redundant to date, saving on the large expense of wages.

Moreover, the COVID-19 pandemic also drastically impacted Apple. Since the start of the pandemic, many countries have faced closures and temporary lockdowns. Specifically, many countries in China could not operate due to restrictions. The economic outlook was therefore negative and has made an immense impact on the global tech giant, Apple. This negative economic outlook caused the profit and sales of businesses to decrease; declaring that revenue goal of \$65 billion in 2020 will not be achieved for Apple due to the pandemic. In effect, Apple overcame this global market influence challenge through closing down the operations of 42 of their stores to ensure safety of all employees. This cost-cutting and expense minimisation strategy cut down on wages, electricity and on store cost; ultimately shifting most of their sales online. This allowed Apple to focus on their core and improve on their online platform in order to still reach the revenue goal they had in mind.

Overall, the financial management strategy of expense minimisation assisted Qantas and Apple to get through the global market influence of poor economic outlook.

Availability of funds + hedging

Availability of funds refers to the ease of access of funds and loans on the international market. The availability of funds is important for the business to be aware of because financial managers understand the risk of not having the ability to access funds as this will limit possible growth or they may need funds for business activities. The influence of availability of funds is seen through the ability of businesses to borrow globally if there is a lack of finance in their own country. However, the availability of overseas funds is limited due to the transaction exposure. Transaction exposure refers to the risk that exchange rates may change after the business has

already entered financial obligation. Hence this clearly limits the availability of funds because it can cause the business to pay more.

The effect of exchange rate fluctuations limiting the access of funds is seen through Qantas who benefit from hedging in order to insure itself against unfavourable economic conditions as a majority of its operating lease payments and purchases of new planes are acquired through US currency. Qantas makes effective use of forward contracts, locking in one currency for another at an agreed rate in future for the company's fuel, whereby they have hedged over 86% of its fuel expenses in 2018.

This is significantly beneficial for the airline company as they are able to maximise profitability and remain more competitive in the global market, whereby they have more income for growth through purchasing new and improved aircraft.

Additionally, Qantas predicts domestic flight activity will be at 68 percent of pre-pandemic levels by April and between 90 per cent and 100 per cent by July of 2022. Qantas is temporarily insulated from soaring fuel costs thanks to its hedging program through to the end of June. As fuel prices are currently at their peak due to the Ukraine/Russia dispute and impact, hedging has affected Qantas advantageously as they have a fixed cost and will not further be impacted by sudden increase in price. Availability of funds influences hedging for Qantas in order to improve on their profitability and stay away from undesirable global factors.

Hence, hedging has ensured that the global market influence of availability of funds is stabilised and able to be met in a current crisis of high prices for fuel, and relatively easier access to funds internationally.

Interest rates

Interest rates refers to the cost of borrowing money. Businesses are now able to borrow funds overseas as interest rates can be lower than the home country because of global interest rate fluctuations. Since businesses are able to access global funds, this has provided the opportunity for greater financing. Recently Qantas has taken advantage of low global interest rates resulting in saving millions of dollars in interest repayments. However, the corresponding interest rate offered by that country may create the need for businesses to respond to possible fluctuations which can cause a detrimental impact. As global interest rates increase, businesses will not borrow as much money as they did when the interest rates are lower. The effect of fluctuations in interest rates causes great concerns for financial managers hence the response of financial strategies.

This is evident through Qantas's use of fixing interest rates. This allowed Qantas to choose a rate at a specific period of time in order to pay the interest resulting in no transaction exposure.

Therefore, the global influence of interest rates and the possible fluctuations that come with it has resulted in businesses implementing a strategy such as fixing the rate to overcome any negative financial effects.

McDonald's is a fast-food company which borrows funds from overseas and therefore, may experience fluctuations in variable interest rates. The company has engaged in international borrowing as seen through 40% of its debt being sourced from global lenders. McDonald's has thereby made use of seeking cheaper sources of finance to reduce costs as they are relying more on debt finance than equity, thus increasing their gearing.

Due to varying international interest rates, McDonald's financial managers have made use of global financial strategies by fixing these rates through the use of interest rate swaps. McDonald's was thereby able to fix roughly 90% of its total debt at an average interest rate of 3.3% p.a., which is a 0.2% reduction from 2016. In effect, the company is able to minimise the financial risks of the business and reduce costs of high variable interest rates globally.

Conclusively, the influence of global markets inevitably impacts on financial management and strategies of businesses and is critical for businesses to consider their impact in a dynamic business environment. Economic outlook, availability of funds and interest rates impact the financial strategies of expense minimisation and hedging to help dominate businesses in the external global environment.

Evaluate global marketing strategies a business can apply to its marketing plan to suit overseas markets

Businesses operate in a dynamic environment and it is crucial for them to implement global marketing strategies in their marketing plan. Specifically, a business can implement the global marketing strategy of customisation to identify target markets in the differing countries a business operates in. They can implement the global marketing strategy of competitive positioning to establish marketing objectives and implement the global marketing strategy of global branding to develop marketing strategies. Prominent businesses such as McDonalds, Sephora, Huawei, Snapchat have tailored the use of these strategies to implement them within their marketing plan in a post COVID-19 pandemic environment.

Global Customisation and Identifying target markets

The implementation of global customisation as a global marketing strategy is useful in aiding a business to identify their target market. Customisation is a global marketing strategy that involves businesses producing and developing a different product for each country or market in

order to meet their specific needs and demands by diversifying the product. A target market is a group of consumers for whom a particular product had been developed. Businesses that are able to identify their target market are able to create promotion materials that are more relevant and are able to refine the marketing strategies they utilise to make the global strategy of customisation more relevant. There is a strong correlation between using global customisation as a global marketing strategy and identifying target markets.

Specifically, an advantage of global customisation is that a business is able to identify their differing target markets around the world which is meticulously exhibited through McDonald's. Upon opening up in a new country McDonalds were able to customise their menu depending on the country they operate in, by identifying their new target market and targeting them accordingly which allows them to maximise their profits. This customisation is evident when they introduced the all-vegetarian menu upon opening in India and including the McAloo wrap within their menu to cater for their culture as well as the halal meat option when opening in Muslim dominating countries. They have benefited from utilising this customisation strategy as they were able to identify the differing target markets across the world and appeal to the hobbies and traditions of particular countries such as Italy and Spain in Europe through the inclusion of beer on its menu. For example, in India, the McAloo wrap is on the menu to cater for Buddhist beliefs and demographics. Moreover, in Germany, beer is offered on the menu to cater to the German culture. This is deemed advantageous to McDonalds as the different menu options cater towards the differing target markets of consumers, hence making them more inclined to consider the fast-food company. Therefore, not only does the business build a positive reputation amongst consumers globally, but they were also able to increase their customer base, improving their revenue margin dramatically to US\$21 billion, achieving their profitability objective.

Nevertheless, Sephora is a global makeup brand which implemented global customisation however failed to identify their target market's needs which resulted in their product being scratched off the shelves. Their implementation of customisation showed no success when they attempted to introduce a plant and herb-based make up products in countries located in the Middle East as they couldn't identify their target market's understanding towards these products. Various language barriers prevented the business from reaching their target market to promote the new makeup products catered towards their traditions. Consequently, Sephora was forced to scratch the new products off the shelf, losing approximately \$2 million on newly researched and developed products which did not sell well in the Middle East.

Despite Sephora failing to customise products due to their inability to identify their target market McDonalds are able to maximise their profitability and improve their customer satisfaction rate to 90% through properly identify their target market's needs and beliefs and changing their menu accordingly, and exceeding the expectations of their global target market, valuing their culture and traditions.

Competitive Positioning and Establishing marketing objectives

The implementation of competitive positioning as a global marketing strategy will aid a business in establishing their marketing objectives. Competitive positioning such as product leadership (innovative ideas and how business will differentiate its products in a global environment), operational excellence (low-cost manufacturing) and customer intimacy (great customer service). Marketing objectives are the realistic and measurable short-term goals to be achieved, including increase market share, expanding into new geographic markets, expand the product range and customer service maximisation. There is a strong correlation between utilising competitive positioning as a global marketing strategy and establishing marketing objectives.

Specifically, an advantage of implementing competitive positioning as a global marketing strategy is that it allows a business to achieve the marketing objectives that it has established which is evident through Huawei using product leadership. Businesses use general market objectives such as increasing market share as a measure for growth. Market share refers to the percentage of total sales a business has compared to businesses in the same industry. The sales of the Chinese company Huawei have proven to surpass the sales of the leading tech giants Apple and Samsung due to their product leadership as their phones are innovative and high tech. Chinese vendors have shipped a total of 55.8 million Huawei devices and 53.7 million Samsung smart phones. Huawei's innovative techniques have benefited them as they are the largest smartphone seller in the globe in the second quarter of 2020. Huawei has strategically taken advantage of the global COVID-19 pandemic as an opportunity for growth, improving their innovative methods and strategies in order to meet the requirements and expectations of their consumers. Despite the short pause in production due to COVID-19 restrictions, 55.8 million Huawei devices were shipped in comparison to 53.7 million Samsung phones which significantly increased their market share in 2020.

However, the disadvantage of this is seen in the way that the sales are dominantly in mainland China. Although Huawei phones have said to dominate the market, statistics suggest that 70% of sales belong to mainland China and 27% to international markets. These figures are inhibiting the global expansion of Huawei as the majority of purchasers are customers residing in China. Therefore, this is seen to be limiting the growth of this phone into international geographic markets. Thus, more effective marketing objectives should be put in place to ensure the longevity of the business' success implemented in the marketing plan.

Despite the disadvantage of not ensuring the longevity of the business' success, the advantage of competitive positioning increasing market share outweighs the disadvantage.

Global Branding and developing marketing strategies

The implementation of global branding as a global marketing strategy will aid a business in developing the appropriate marketing strategies to achieve their marketing objectives. Global branding is the worldwide use of a name, symbol or logo to identify the seller's products or

differentiate them from those of its competitors. Marketing strategies are plans that outline how a business will use its resources to achieve its marketing objectives. There is a strong correlation between using global branding as a global marketing strategy and developing the appropriate marketing strategies.

The advantage of implementing global branding as a global marketing strategy is seen within the online social media platform Snapchat. The online social media platform has become very popular for people to keep in touch amidst the global COVID-19 pandemic. Snapchat has taken advantage of this pandemic and used it as an opportunity to improve and develop their marketing strategies. With the first quarter of 2022, Snapchat has gained 11 million daily active users, increasing their total users to 229 million. This is due to the new face-time feature that they have incorporated into their platform increasing the usage by 25% in late March when compared to February. This has positively impacted Snapchat's global branding as the user base has increased. The development of their marketing strategies and their innovative ideas of including the face-time feature has encouraged the platform to thrive.

The advantage of global branding is further seen in McDonalds. In 2019, it was reported that 88% of people surveyed could identify the 'golden arches' logo, compared with only 54% of people who were able to identify the Christian cross. This shows the tremendous success of McDonald's global branding strategies and the effect of the marketing strategies they have implemented.

However, the disadvantage of global branding is present within McDonalds using Shanghai Hui Foods (a major supplier owned by OSI Group). It was recently found using contaminated meat and chicken products to make patties with new expiration dates. Once this scandal was made public, McD was short on beef and chicken for three weeks in China and resulted in major negative publicity and decline in sales by 7% in the region. This is a powerful example because as a global brand, when something goes wrong in one country, this tends to be communicated vastly to the other countries. Hence, this inconvenience contaminated the McD global brand as it spread negative publicity about the products and service; ultimately decreasing sales and revenue for the fast-food restaurant.

Despite the disadvantage of negative publicity of the global brand, the advantage of Snapchat rebranding to include a video chat feature increasing their usage by 50% and McDonald's tremendous success of being globally known by consumers outweighs the disadvantages.

Conclusively, implementing global marketing strategies is crucial for businesses to apply within their marketing plan. This is addressed through a business' choice to implement the global marketing strategy of customisation to identify target markets in the differing countries a business operates in, the implementation of competitive positioning as a global marketing strategy to establish marketing objectives and implementation of global branding as a global

marketing strategy to develop marketing strategies. Prominent businesses such as McDonalds, Sephora, Huawei, Snapchat have utilised these strategies to implement them within their marketing plan in a post COVID-19 pandemic environment.

Analyse the marketing strategies that management has used in response to marketing influences.

Businesses operate in a dynamic and competitive environment and it is essential for them to know the influences on the marketing process in order to utilise the appropriate marketing strategies. Specifically, marketing influences include the psychological factors influencing customer choice such as learning, the sociocultural factors that influence customer choice and the consumer laws that aim to prevent deceptive and misleading advertising. These marketing influences have a great impact on the marketing strategies. For example, businesses implement the marketing strategy of standardisation as a result of the psychological factor that influences customer choice. They also implement global customisation as a result of the sociocultural factor that influences customer choice. And finally, businesses are impacted by consumer laws that prevent them from engaging in deceptive and misleading advertising. Prominent businesses such as Coca Cola, McDonalds, Nivea, Sephora, and Telco companies have tailored the use of these strategies to respond to the marketing influences in a post COVID-19 pandemic environment.

Psychological and Standardisation:

The implementation of standardisation as a global marketing strategy is useful in aiding a business to respond to the psychological factor that influences customer choice. Psychological factors are the personal characteristics of a consumer that influence their behaviour. Standardisation is a global branding strategy where a business sells one, uniformed product with

the same function on a mass scale to all countries globally. Businesses implement this strategy to play on the psychological influence of learning, as consumers globally will recognise the brand as well as the uniform quality, hence they are more inclined to purchase as they are familiar with the products. There is a strong correlation between using standardisation as a marketing strategy and responding to the psychological factor influencing customer choice.

Specifically, a positive implication of utilising standardisation is that a business is able to increase its customer base and while minimising costs. Coca Cola, for example, is a global business who produce their drink products on a mass scale, whereby their global target market is expected to all share the same taste and purchase from their products. The company, as a result, are able to benefit from an increased customer base, as they are globally recognised due to the uniform logo and brand. This encourages those travelling to purchase Coca Cola, as they are familiar with the product and fear experimentation, hence playing with psychological influences. This strategy has been advantageous for Coca Cola in the midst of the COVID-19 pandemic as they were able to successfully have a good reputation and brand image in multiple countries around the world. They were able to reduce costs by making use of economies of scale as they produce products with the same features, being promoted in the same manner to all countries with no added expense of customising particular ingredients to meet different tastes or diversifying their message displayed in advertisements. During the pandemic they were able to mass produce their products that had one design that successfully meets a global audience all in the same standardised manner and still make up to \$37 billion during 2020 on a global scale.

Furthermore, the positive implication of using standardisation as a marketing strategy to respond to the psychological factor that influences customer choice is seen through McDonalds. McDonald's standardises some of its food products, seen through mass producing their famous McNuggets and Big Macs. The company has benefited from a global market purchasing from the same standardised products, whereby in 2019, they sold up to 2.5 million Big Macs a day globally. This displays how standardisation is catering for the psychological influence of learning, as well as how the company benefits from the acquisition of standardised inputs as it reduces costs by 2%.

However, the negative implication of standardisation is displayed through Nivea in 2018. Nivea released a "brightening and radiant" cleanser worldwide for all skin types including dry, sensitive and oily in 2018. Nivea failed to diversify their advertising in west Africa as the message was not more sensitive towards these consumers. Due to them using the same promotion mix all around the world, the model that was seen in the advertisement was a black woman promoting the cleanser that "brightens and restores natural fairness". This was viewed as racist in west Africa and as a result Nivea had to deal with the negative publicity which destroyed their reputation and brand image. As a result, Nivea experienced a decrease in sales in Africa by 5% due to their lack of consideration and standardised approach. Nivea failed to respond to the physiological factors

that influence customer choice such as perception as consumers have negative perception of the product due to their advertisement.

Thus, by utilising standardisation as a marketing strategy a business is able to respond to the psychological factor that may influence customer choice.

Sociocultural and Global Customisation:

The implementation of global customisation as a global marketing strategy is useful in aiding a business to respond to the sociocultural factor that influences customer choice. Sociocultural influences are those that come from the customer's society and culture. Customisation is a global marketing strategy that involves businesses producing and developing a different product for each country or market in order to meet their specific needs and demands by diversifying the product. Businesses implement this strategy to play on the sociocultural influence, as consumers around the world would have different beliefs and traditions that may impact their choice of food and drinks. There is a strong correlation between using global customisation as a marketing strategy and responding to the sociocultural factor influencing customer choice.

Specifically, a positive implication of global customisation is that a business is able to target different target groups around the world which is meticulously exhibited through McDonalds. Along with the standard brand name, logo and symbol that McDonalds utilises around the world, they customise the menu depending on the country they operate in to maximise their profits. This customisation is evident when they introduce an all-vegetarian menu in India as well as halal meat option in Muslim dominating countries. Furthermore, they appeal to the hobbies and traditions of particular countries such as Italy and Spain in Europe through the inclusion of beer on its menu. Consequently, this is advantageous to McDonald's as the different menu options cater towards the sociocultural influences of consumers, hence making them more inclined to consider the fast-food company. Therefore, not only does the business build a positive reputation amongst consumers globally, but they are also able to increase their customer base, improving their revenue margin dramatically to US\$21 billion, achieving their profitability objective.

Nevertheless, Sephora is a global makeup brand which attempted to achieve an increased customer base through implementing a customisation strategy. This showed no success when they attempted to introduce plant and herb-based makeup products in countries located in the Middle-East. Various language barriers prevented the business from reaching a larger audience to promote the new makeup products catered towards their traditions. Consequently, Sephora was forced to scratch the new products off the shelf, losing approximately \$2 million on newly researched and developed products which did not sell well in the Middle East.

Despite Sephora failing to customise products to develop a larger customer base, McDonald's are able to maximise profitability and improve their customer satisfaction rate to 90% through

customising their menu and exceeding the expectations of their global target market, valuing their culture and traditions.

Deceptive and Misleading Advertising and Advertising

Businesses may choose to implement advertising as a promotional strategy as a result of the influence of consumer laws on marketing. Advertising refers to a paid non-personal message communicated through a mass medium that is designed to increase sales and profit by informing, persuading and reminding customers of a product's features. Consumer laws as an influence on marketing refers to the statutory obligations posed by laws including the Competition and Consumer Act 2010 that a business must fulfil. The Australian Competition and Consumer Commission (ACCC) is an independent Commonwealth statutory authority whose role is to enforce the Competition and Consumer Act 2010. Advertising is significantly impacted by consumer laws as it dictates the type of advertising a business invests in.

Specifically, a positive implication of advertising is that it can be used to communicate with an extremely large number of potential customers, all at the same time. McDonald's launched an advertisement for the US that was unbranded, displaying a 30-second advertisement that made no reference to the business, asking viewers to Google "that place where coke tastes so good", with McDonald's being the very first fast-food company to appear. This advertisement itself was so successful for McDonald's that it immediately rewarded the business with almost 4 million views in its first week. This is advantageous as the business is able to potentially attract and gain the attention of a large number of consumers to purchase from McDonald's as opposed to its competitors. Consequently, McDonald's can gain a competitive advantage through increasing its sales as new customers become interested in purchasing from the company, maximising profits.

Furthermore, the negative implication of advertising is exemplified when The Australian Competition and Consumer Commission (ACCC) fined telco companies for their advertisements. The ACCC has pursued Lycamobile and Amaysim for alleged misleading advertising. Both telco companies had advertised that they had 'unlimited' plans. However, the plans were only 'unlimited' for the first three renewals before converting back to a capped data allowance. As a result of these misleading claims Amaysim and Lycamobile have forked out a total of \$138,600 in fines. The negative implication is clearly exemplified in this situation as according to the ACCC, telco companies such as Amaysim and Lycamobile have engaged in deceptive and misleading advertising. This is disadvantageous as this act has led Amaysim to fork out \$126,000 and Lycamobile to pay \$12,600 in fines. Both these telco companies are now a subject of negative publicity which is likely to tarnish their brand. The consumer laws impact the advertising of Telco as it sets statutory obligations that business; must strictly follow to ensure they are engaging in fair practices. As a result, Telco must change their current ways of advertising to ensure that they abide by the consumer law. This has led to Telco's advertising being changed as a direct result of the consumer laws present. Thus, businesses need to ensure that they are careful how they advertise their products.

Thus, businesses are influenced by consumer laws that prevent them from engaging in deceptive and misleading advertising.

In summation, the marketing strategies a business implements is heavily impacted by marketing influences. This is addressed through a business' choice to implement standardisation to respond to the psychological factor that influences customer choice, global customisation to respond to the sociocultural factor that influences customer choice and not engaging in deceptive and misleading advertising as it goes against the consumer laws. Prominent businesses such as Coca Cola, McDonalds, Nivea, Sephora and Telco companies have utilised these marketing strategies to respond to the marketing influences in a post COVID-19 pandemic environment.

Operations Essay

To what extent do the influences on operations affect business performance?

It is critical for businesses to understand the impact influences on operations could have on the achievement of performance objectives. Specifically, the influence of technology impacts the achievement of the performance objective of speed. Moreover, the utilisation of quality expectations as an operations influence may impact the achievement of quality as a performance objective. Finally, there are also impacts of the influence of globalisation on the achievement of the performance objective of cost. Prominent businesses like McDonald's, Dominos, KFC, Qantas and Apple and Foxconn have tailored the use of operations influences to achieve particular performance objectives.

Technology and Speed

The implementation of technology as an operations influence can help businesses achieve the performance objective of speed by increasing the pace of the production process. Technology refers to the machinery, equipment and expertise used within the operations process. Speed refers to the rate at which goods and services are produced in relation to market demand. There is a strong impact of technology on speed as leading-edge technology enhances the speed of the production process.

Specifically, a positive implication of leading-edge technology is that it can improve the efficiency of the production process in delivering outputs. Technology enables businesses to

increase the efficiency of production, decrease overall lead times and achieve the performance objective of speed. McDonald's efficiency has recently improved after acquiring Drive-Thru technology in response to the COVID-19 pandemic. McDonalds recent acquisition of Dynamic Yield (a technology company) in 2019 enabled them to develop sophisticated technology that adapts the menu board according to a range of factors including weather and previous orders. This technology enables McDonalds to amplify their suggestive selling efforts since 90% of sales during the COVID-19 pandemic were processed in the Drive-Thru of most stores. One notable positive implication of this strategy is that the Drive-Thru speed for US stores, on average, decreased from 253 to 208 seconds. In effect, this has reduced heavy traffic congestion McDonalds experienced during the COVID-19 pandemic and improved the overall Drive Thru flow, effectively decreasing overall lead times and thus satisfying the performance objective of speed.

Furthermore, another positive implication of utilising technology to enhance speed is that it enables businesses to achieve production differentiation. Utilising technology in all stages of the production process, has allowed businesses to differentiate themselves from other competitors due to the advantage of having speed increased in the acquisition of inputs, ordering and delivery of products. As a result of this differentiation, businesses can gain a competitive advantage by having fast and dependable services. This is evident through Domino's as they differentiated themselves from other competing pizza businesses through the implementation of the WOW2 Fast Bake Oven. A positive implication is evident as the new machinery has allowed for the speed of the production to increase as it cooks the pizzas at a faster rate. Domino's has successfully been able to achieve the performance objective of speed through the implementation of this new oven. In addition to the fast bake oven, Domino's improved their digital platform to serve customers staying safely at home. Consequently, Domino's operations were flexible enough to adequately meet the growth in online ordering which saw them surpass \$3 billion in global sales for the first time.

Thus, there is evidently a strong positive impact of the operations influence of technology on the achievement of the performance objective of speed.

Globalisation and Cost

The performance objective of reducing costs can be achieved through the operations influence of globalisation. The performance objective of cost involves the minimisation of costs through decreasing expenditure ultimately leading to profit maximisation. Globalisation refers to the breaking down of international barriers, increasing trade and communication. There is a strong impact of globalisation on the achievement of cost in a business.

Globalisation enables businesses to contract other companies around the world to complete non-core activities. In effect, businesses are able to reduce costs as they are not required to pay and maintain the employees, and they can also take advantage of cheaper labour. This is accentuated through the airline company, Qantas. As a result of COVID-19, Qantas experienced an annual

loss of \$2 billion, causing them to contract off their ground handling duties. The influence of globalisation has allowed Qantas to contract a company to send employees from Swissport to handle their ground handling activities instead. This has allowed them to minimise wage expenses, resulting in Qantas saving \$100 million annually. In effect of this, Qantas has successfully been able to minimise their costs, demonstrating that globalisation has allowed them to achieve their performance objective of cost.

Another business that achieves the performance objective of cost is Apple & Foxconn. Globalisation has provided many opportunities to reduce operating expenses by hiring international businesses to undertake non-core business functions. Apple has continued to rely on Foxconn (China) to assemble their products and maintain a consistent supply of products. In effect, the positive implication of this is that Apple has been able to significantly minimise their expenses by outsourcing a non-core function to Foxconn allowing them to start focusing on innovating new products. Evidently, globalisation has enabled Apple to achieve their performance objective of cost.

Henceforth, it is clear that there is a positive impact of globalisation as an operations influence on the achievement of the performance objective of cost, as seen through Qantas and Apple & Foxconn.

Quality Expectations and Quality

The performance objective of quality can be achieved through the successful utilisation of quality expectations as an operations influence. Quality refers to the way a product or service is produced in relation to the process conducted. Quality expectations are the pre-existing ideas and potentials about the quality and standard of a certain product or brand. Quality expectations that customers have are the durability, reliability, and fitness for purpose of products. Durability refers to how long the product lasts (overall) given a reasonable amount of use. Reliability refers to how long the product functions without needing maintenance or repairs. Fitness for purpose refers to how well the good or service actually matches all the claims of advertising. In effect of implementing the operations influence of quality expectations, the performance objective of quality can be achieved. This is because the quality of a business' products will be improved, meaning that the customer expectations are met.

A business that achieves the performance objective of quality through the operations influence of quality expectations is McDonald's. McDonald's manages the quality of its buns through ARYZTA bakery that supplies Australian and New Zealand McDonald's restaurants with high quality burger buns. The positive implication of this is that customers will achieve the same bun every time. The quality of these burger buns is maintained through the continuous inspection of the buns and the technology used before, during, and after the production process. Any irregularities are detected by the Eye-Pro Inspection System that identifies variations in appearance such as height, tone, and heaviness of each bun. Such quality measures will increase customer satisfaction through the achievement of reliability. Thus, the performance objective of quality has evidently been achieved.

Another business that achieves the performance objective of quality through the operations influence of quality expectations is KFC. During the COVID-19 pandemic, KFC faced disruptions in supply due to an outbreak of COVID-19 in KFC's meat suppliers in Victoria. In response to this, stores around Melbourne temporarily closed. However, this did not compromise on the quality of their produce since they avoided putting workers and customers at risk if they continued their meat supply as usual. In effect, the positive implication of this for KFC was that by following safety procedures, the spread of COVID-10 was minimised, demonstrating that KFC doesn't compromise on quality. In effect, the performance objective of quality was successfully achieved through the implementation of the influence of quality expectations.

Therefore, as demonstrated above, there is a clear positive impact of quality expectations on the achievement of the performance objective of quality, as seen through KFC and McDonald's.

In summation, it is pivotal for businesses to understand the impact of operations influences on achieving particular performance objectives. This is addressed through businesses like McDonald's and Domino's who have utilised technology to achieve the performance objective of speed, using quality expectations to address the objective of quality and finally, minimising costs through the use of globalisation as an influence. Overall, there is a positive impact of operation influences on the achievement of performance objectives.

Analyse the impact of ethics and consumer laws on marketing management.

Businesses operate in a dynamic environment and it is crucial for them to understand the effect of ethics and consumer laws on their marketing management. Specifically, the consumer law of deceptive and misleading advertising impacts the businesses advertising methods. The ethical influence of truth, accuracy and good taste in advertising may influence the business' packaging methods and finally, the ethical influence of products that may damage health will impact the business' product/service differentiation. Prominent businesses such as Telco companies, Lush, Purell and McDonalds have tailored the use of their marketing strategies to prevent these influences from having an effect on them in a post COVID-19 pandemic.

Deceptive and Misleading Advertising and Advertising

Businesses must be aware of the consequences of deceptive and misleading advertising before implementing the marketing strategy of advertising. Advertising refers to a paid non-personal message communicated through a mass medium that is designed to increase sales and profit by informing, persuading and reminding customers of a product's features. Consumer laws as an influence on marketing refers to the statutory obligations posed by laws including the Competition and Consumer Act 2010 that a business must fulfil. The Australian Competition and Consumer Commission (ACCC) is an independent Commonwealth statutory authority whose role is to enforce the Competition and Consumer Act 2010. However, advertisements can sometimes be deceptive and misleading to the consumer. Examples include misleading information about a product's features, content and place of manufacture, overstating benefits, offering discounts that don't actually exist and bait and switch advertising (discount a product

where limited stock is available). Advertising is significantly impacted by consumer laws as it dictates the type of advertising a business invests in.

Specifically, a positive implication of advertising is that it can be used to communicate with an extremely large number of potential customers, all at the same time. McDonald's launched an advertisement for the US that was unbranded, displaying a 30-second advertisement that made no reference to the business, asking viewers to Google "that place where coke tastes so good", with McDonald's being the very first fast-food company to appear. This advertisement itself was so successful for McDonald's that it immediately rewarded the business with almost 4 million views in its first week. This is advantageous as the business is able to potentially attract and gain the attention of a large number of consumers to purchase from McDonald's as opposed to its competitors. Consequently, McDonald's can gain a competitive advantage through increasing its sales as new customers become interested in purchasing from the company, maximising profits. This allows them to follow the consumer law and avoid deceptive and misleading advertisements which pose many penalties and harm to the business.

However, the negative implication of advertising is exemplified when The Australian Competition and Consumer Commission (ACCC) fined telco companies for their advertisements. The ACCC has pursued Lycamobile and Amaysim for alleged misleading advertising. Both telco companies had advertised that they had 'unlimited' plans. However, the plans were only 'unlimited' for the first three renewals before converting back to a capped data allowance. As a result of these misleading claims Amaysim and Lycamobile have forked out a total of \$138,600 in fines. The negative implication is clearly exemplified in this situation as according to the ACCC, telco companies such as Amaysim and Lycamobile have engaged in deceptive and misleading advertising. This is disadvantageous as this act has led Amaysim to fork out \$126,000 and Lycamobile to pay \$12,600 in fines. Both these telco companies are now a subject of negative publicity which is likely to tarnish their brand. The consumer laws impact the advertising of Telco as it sets statutory obligations that business; must strictly follow to ensure they are engaging in fair practices. As a result, Telco must change their current ways of advertising to ensure that they abide by the consumer law. This has led to Telco's advertising being changed as a direct result of the consumer laws present. Thus, businesses need to ensure that they are careful how they advertise their products.

Thus, businesses are influenced by consumer laws that prevent them from engaging in deceptive and misleading advertising.

Truth, accuracy and good taste in advertising and Packaging

Businesses must be aware of the impact of truth, good taste in advertising when choosing their packaging methods. Ethics represents actions taken by businesses to act as responsible corporate citizens within the community. Marketing agents are expected to consider what society agrees is

acceptable and must be aware of any community sensitivities to prevent any degree of controversy. Packaging refers to the physical appearance of the good and how it appears when it is presented for sale. Businesses may choose to utilise favourable packaging methods to allow for a better ethics and morals to run in their business in order to increase competitive advantage within the market and increase brand reputation in the eyes of consumers.

Specifically, a positive implication of using packaging effectively is evident in the global ethical company, Lush. Lush has taken steps to package their bath bombs and other products using sustainable and regenerative ingredients. This initiative aims to create a positive change across the planet. The British-based business has 70 full time workers in their Australian factory based in Villawood, Sydney who hand make soaps shampoos and bath bombs. Engaging in ethical practices that are meeting the expectations of the consumers is advantageous for this business. Lush has confirmed that they are now engaging in sustainability when packaging their products which displays their positive corporate citizenship. This has been advantageous for them as it has attracted those that are willing to be environmentally friendly. This has increased Lush's customer base and increased repeat customers. This has allowed for increased sales and revenue which has allowed for increased profit. This can improve their brand image and reputation thus a competitive advantage, as they are engaging in work ethics and taking responsibilities.

The positive implication of aiming to achieve truth and good taste in advertising is that it can attract customers during a time of decreased growth; as well as improving business ethic in order to suit the needs and concerns on consumers. This is evident in Purell during the COVID-19 pandemic, whereby they renewed their packaging. Due to the increasing demand of hand sanitisers during the coronavirus outbreak, Purell have decided to re-package their products. They were flexible enough to identify the new trends within society and use it for their advantage to make up for the poor sales during the outbreak by having the new packages appear similar to the conventional dish washing liquid bottles. The company has taken initiative to package a portion of their products in new 'emergency response' bottles specifically targeting the frontline and essential workers. This has been advantageous as Purell has strategically renewed their packaging due to the coronavirus pandemic to meet the growing demand for hand sanitisers and meet the customer's needs during a critical time. This good taste in advertising and accuracy ensured that Purell was able to meet the needs of their consumers and release the need to be more safe in a time of crisis (hygienic). This can be seen in the label 'emergency response' on each new bottle, additionally, the ingredients list and bottle descriptions also have more clarity.

However, the negative implications of aiming to have truth, accuracy and good taste in advertising is also evident for lush. This process has resulted in the employees complaining about the poor working conditions which can also ruin their brand image. This may result in negative publicity and has also proven to be a hindrance in their branding of the global cosmetics of the global cosmetics company.

The negative implication is also seen in Purell as the repackaging of their hand sanitisers is an added expense. Employing this marketing strategy will be an additional cost around amending the existing plant layout of their manufacturing structure. These extra expenses may impact them negatively, particularly during the instability of the economy.

Hence, ethical influences such as truth, accuracy and good taste in advertising heavily impact businesses' marketing management such as product packaging.

Products that may damage health and product/service differentiation:

Businesses must be aware of the products that they sell to their customers and ensure that they don't damage the health of consumers. The federal government has attempted to restrict the provision of various goods and services that may act as a health detriment to consumers, without applying a ban on their sales. The effect of this is that businesses that sell products that may damage health must be aware of the ethical consideration surrounding the advertising of their products. Product differentiation is the process whereby a business distinguishes the attributes and features of a product from those of its competitors. It is important for businesses to consider the products they are selling and know the consequences of selling products that may damage the consumer's health.

The positive implication of ensuring a business is not producing products that may damage health is evident within McDonalds. A 2019 study found that on average, Australians spend 32% of their weekly food budget on fast food. Added to this, a 2021 federal government report suggested as much as 67% of the Australian population was wither overweight or obese including 1 in 4 who were in the 2-17 age bracket during the covid 19 pandemic. As a response, McDonald's Australia voluntarily works with accredited dieticians to improve the quality of its food. They have differentiated their meals through the quality of their foods by ensuring that they provide healthier foods to their consumers. McDonald's Australia has differentiated their products by reducing the sugar content in burger buns to 5%, reducing their sodium content of McDonald's signature cheese by 20% and by introducing healthier options to its menu. They have also differentiated their kid's menu by introducing healthier options in their traditional Happy Meals such as seared chicken wraps, sliced apples, flavoured milk and water. They have provided the option where fries can be replaced with a garden salad. This differentiation has increased their customer base as more customers that are health conscious and aware of what they consume are able to buy their meals as they are healthier and appeal to their diets. This has increased their sales and overall revenue maximising their profits within 2021.

However, the negative implication of aiming to ensure that products do not damage health is also seen within McDonalds. This differentiation is an added expense for McDonalds as they have to spend more money to provide their customers with better quality foods. Aiming to respond to the new data provided by the federal government takes up time and money that they are able to spend on other aspects of the business.

Conclusively, businesses must understand the effect of ethics and consumer laws on their marketing management. This is addressed through a business' choice to change their advertising methods due to the consumer laws of deceptive and misleading advertising, changing their packaging to have truth, accuracy and good taste in advertising and by differentiating their products in order to ensure that they don't produce products that may damage health. Prominent businesses such as Telco companies, Lush, Purell and McDonalds have tailored the use of their marketing strategies to prevent these influences from having an effect on them in a post COVID-19 pandemic.